

Case Study 3: Ethics & Investments

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WHAT'S COVERED

In this case study, you will practice applying ethics to investment strategies that include considerations of corporate behavior related to environment, social, and governance factors. Specifically, this scenario will include decisions about:

1. Firing a Client



As a certified and licensed financial planner, you understand the importance of providing sound and well-informed financial advice to your clients. As you navigate the ever-changing landscape of investing, you may find yourself wondering whether or not to base your advice on ESG (environmental, social, and governance) ratings.

ESG ratings are a relatively new concept in the world of investing, but they have gained traction in recent years as investors become more concerned with the impact their investments have on the world. ESG ratings take into account a company's environmental impact, social responsibility, and governance practices when

assessing its potential for investment. The hope is that by holding companies more accountable, investing happens in those companies that meet an ethical maximum.

While some investors may be skeptical of the value of ESG ratings, as a financial planner, it's important to consider all the factors that could impact your clients' investments. By taking ESG ratings into account, you may be able to identify investment opportunities that not only provide strong financial returns but also align with your clients' values and beliefs. In other words, this method may be the means or the way to meeting their financial goals.

However, not all clients may be receptive to this approach. In some cases, you may face pushback from clients who view ESG ratings as a form of "woke" investing that prioritizes social and environmental concerns over financial returns. In these situations, you may be forced to decide whether or not to continue working with the client. For example, one client not only resists ESG investing but goes on a short tirade lambasting you for considering anything but profits. He reminds you that he used to be a day trader, and as such, has insight on how to maximize short-term profits. He made his own decisions based entirely on analysis of the companies' profits and nothing else. He says he will find another investment firm if you use ESG ratings.



Do you let the client go?

You decide to let the client go.

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"Firing" a client is never an easy decision, but as a financial planner, you must prioritize your professional ethics and values. If you believe that ESG ratings are a valuable tool in assessing investment opportunities, and a client refuses to consider them, it may be in both of your best interests to part ways.

That being said, it's important to approach these situations with empathy and understanding. Some clients may simply be misinformed or skeptical about ESG ratings, and it's up to you to educate them on the potential benefits of this approach. By explaining the rationale behind your investment recommendations and demonstrating how ESG ratings can lead to better financial outcomes, you may be able to win over even the most skeptical clients.

Ultimately, it's your responsibility to provide the best possible advice to your clients. By considering all the available information, including ESG ratings, you can help your clients make informed investment decisions that align with their values and goals. And in cases where clients may not be receptive to this approach, it's up to you to make the tough decision to prioritize your professional ethics and values.

Meet with the client for further clarification and to gather information before making a decision.

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It's important to provide the best advice to investors while considering all factors that could affect their investments. ESG ratings, which take into account environmental, social, and governance factors, have become increasingly popular in the investment world. However, the decision to base investment advice solely on ESG ratings should be made after careful consideration and clear consent.

In this scenario, a client expresses concern about the financial planner being "woke" and pushing a political agenda by recommending ESG-based investments. The planner has to decide whether to let the client go or defend their stance. Taking the time to understand the client's concerns and address any

misconceptions shows respect and professionalism. It's important to have open and honest communication with clients and to explain the rationale behind investment decisions to ensure they understand the potential benefits and risks. Once you have both explained your position, you can decide whether it's time for an amicable parting.

Refer the client to another financial planner.



When the client accused you of being "woke," you realized that their values did not align with yours. In response, you decide to simply refer them to another planner who can better meet their needs. You understood the importance of working with clients who shared your values and are committed to helping them achieve their financial goals in a way that aligned with their beliefs. This is an ethical and professional way to handle the issue, but it loses an opportunity for both of you to communicate and explain your positions. On your part, showing the willingness to listen and consider a client's point of view is an important aspect of your job. You can also consider client education part of your job, and explaining your position on ESG ratings will do so.

Send the client information on ESG.



You pride yourself on providing your clients with socially responsible investment options. However, when a client accuses you of being "woke" and challenges your approach, it can be frustrating. Instead of getting defensive, you decide to educate them on the benefits of ESG investing and provide them with additional resources. You send them more information on ESG ratings. While it's laudable that you are sticking to your ethical beliefs, you should also be ready to listen to the client. This is an important part of your job and an ethical obligation. If nothing else, he will more likely listen to your point of view after he feels heard.

2. ESG Ratings

You build your reputation as an ESG-minded investment planner and attract clients who are interested in "impact investing," and cautious long-term investors planning for their retirement, versus those interested in quick profits. You have spent countless hours researching and selecting portfolios that align with your clients' environmental, social, and governance values. However, you recently made a shocking discovery. One of the portfolios you championed as ESG-friendly is based on suspect ratings which may not be completely accurate.

Upon uncovering this information, you are faced with a difficult decision. Should you inform the investors who took that option that you made a mistake? Or should you quietly trade out the companies you favored? As you remember, the seven-step method to ethical decisions is to first determine the problem, then determine the facts. You know you have a responsibility to act in the best interest of your clients. When faced with a situation where a portfolio you championed as ESG-friendly is based on suspect ratings, there are various options available to you. Each option comes with its own set of advantages and disadvantages, and it is up to you to make the decision that is most ethical and transparent for your clients.



What do you do?

Inform investors of the mistake.

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You decide to inform the investors who chose the portfolio that you made a mistake. This would be the most transparent and ethical option, as it would allow them to make an informed decision about their investments. In addition, it shows high emotional intelligence in the area of self-regulation, putting your clients' needs above your own embarrassment. You would need to explain the situation to them and why you made the decision to invest in that portfolio based on the ESG ratings. It would also be essential to provide them with alternative investment options that align with their values.

Quietly sell off your clients' stocks in the company without explaining why.

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You choose to quietly sell off stocks in your clients' portfolios without explanation. This option would avoid causing any alarm or panic amongst the investors. However, it could be seen as unethical, as it would not inform the investors of the mistake you made. This option could also potentially damage your credibility as a financial planner if the investors were to find out about the mistake and your attempt to cover it up.

"Blow the whistle" on the company that is inflating their ESG ratings.

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While it's understandable to be angry that a company intentionally deceived investors, you are not in a position to be a whistleblower, since you do not work for the company. The best choice is to simply cut ties and sell off your investments, and share what you learned with other ESG-minded investors.

Do nothing. You based the initial investment decision on ESG ratings, and can continue to defend that decision, even if the ESG ratings themselves are suspect.

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Not making a choice is still a choice, and involves ethics and consequences. It is unacceptable, given your focus on ESG ratings, to do nothing in this scenario.

3. Greenwashing

You sell off all stocks in your clients' portfolios and inform them of the change. There is no long-lasting consequence; the few investors who do reply thank you for your vigilance and understand the error in judgment. However, this wakes you up to the problem overall with ESG ratings and their reliability. You begin to research each company independently, which is enormously time consuming. You discover that one of your favorite companies, which has been yielding big returns for your clients, is still using fossil fuels and exaggerating their use of alternative energy. In this case, you feel the company still does a lot of good work, and you are reluctant to divest. You would rather use your position as an investor to influence the company's decision making.



Given this scenario, what do you do?

Speak with the company directly and request clarification.



You may want to reach out to the company and express your concern about their use of oil and hydrocarbon industry, requesting clarification. Explain that you were recommending their company to clients because you believed they were truly committed to ESG principles. If the company is receptive, you may be able to work with them to identify ways in which they can be more transparent about their funding practices and demonstrate a stronger commitment to ESG principles. This is a fair approach to the issue, given the complexity of the situation.

Stop recommending the company.



You divest in the company and explain to your clients why you are no longer recommending the company and offer alternative options that better align with your ESG principles. This shows you are uncompromising, but it may be unnecessary, since you still find the company good on other issues. Also consider that this wastes your influence as an investor.

Engage in shareholder advocacy.



Since you and your clients hold shares in the company, you may want to engage in shareholder advocacy to encourage the company to be transparent in how it aligns with ESG principles. This would be a bigger step than direct communication, seeking for the combined power of all shareholders to influence the company. For example, you might file a shareholder resolution calling for greater transparency and attend shareholder meetings to voice your concerns directly to the company's management team. This may be the best tactic for bringing the desired change, though it is also a lot of work and time not spent directly aiding your clients.

Raise public awareness through your investment advice blog and podcast.



You choose to raise awareness of the company's use of fossil fuels and “greenwashing,” even beyond your own colleagues and clients, by talking about it on your blog and podcast where you share ESG investment advice. If you have the reach, this may bring the changes you want, but it is more likely to bring immediate divestment in the company and damage their reputation than to bring the desired changes. Since you do still appreciate many things about the company, approaching them directly as an investor—or rallying other investors—is the best way to bring the change you want and still benefit financially from the company's profitability.



SUMMARY

In this lesson, you considered ethical investing, beginning with the tough decision of **firing a client** who disagrees with your vision of investments that consider a corporation's social responsibility (CSR) along with short-term profitability. CSR is often measured as **environment, social, and governance (ESG) ratings**, which themselves present challenges since they are not consistent with each other or

always transparent. For example, some ESG ratings may value a company highly due to public statements that are merely **greenwashing**, or publicity efforts around minor initiatives that conceal the real environmental practices of a company. As an investor, you may use your investment and divestment to influence companies, but in some cases, may want to use your power as a shareholder to influence the company more directly.

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